

BW pitch deck

PITCH — BW — VERDICT

PROPOSED — PENDING ADJUDICATION — Do not buy. No position, no orders, no size. Both benches land on flat-with-zero-size, and the blocker is not price: it is that the headline contract was bought with our own stock from a customer whose largest sponsor is also the issuer's ~19% shareholder and the underwriter of the concurrent raise, and the cash to prove the contract works has not shown up. Reopen bands are conditions, not prices.

What we believe

Babcock & Wilcox books revenue on a very large design-build job that it did not win in the ordinary way. It issued equity to the customer's sponsor to get the work: 0.5M shares to Applied Digital for \$2.0M, plus warrants on 10.46M shares struck at \$4.11, of which 5.23M were assigned to Base Electron on 2026-03-18. Those warrants are carried at about \$143M. The fair-value charge on them in Q1 (\$70.2M) is essentially the entire first-half loss.

Three things follow, and they are the belief:

- 1. The profitability being marketed is mostly accounting.** First-half "adjusted EBITDA" is \$37.8M. Inside it sit about \$24M of non-cash add-backs — stock comp of \$14.8M (up from \$1.5M a year ago), customer-warrant amortization of \$4.1M, and depreciation of \$5.0M. GAAP operating income is \$10.1M. Two-thirds of the marketed number never touched cash.
- 2. The customer is not paying in advance, and that is unusual for this kind of job.** Advance billings (money customers pay before work is done) *fell* \$30.5M in the first half, from \$112.0M to \$81.5M, during the ramp of a \$2.4B project. On a design-build contract of that size you would expect mobilization payments coming in, not going out. Operating cash flow for the half was \$374k on \$534.1M of revenue.
- 3. There is no balance-sheet floor.** The screen that made this look cheap — "net cash" — is an artifact. Cash \$308.6M plus restricted cash, less debt of ~\$210M, looks like roughly \$172M of net cash. A \$191.7M preferred claim (7,669k shares at \$25 liquidation, confirmed by the \$14.86M/yr dividend actually paid) sits ahead of the common and erases it. Net of the preferred, the balance sheet contributes roughly *nothing* per share. Everything you pay for is the operating business.

The work is real — this is an EPC vendor with \$534M of half-year revenue and a legacy aftermarket business, not a pre-revenue story. But the economics of the marquee contract are unproven in cash, and the counterparty is entangled with the issuer's own capital structure.

What the market believes

Three analysts cover a company with roughly \$1.4B of enterprise value. Consensus is FY26 revenue of \$1.06B, adjusted EPS of \$0.15, a “Strong Buy” rating and an average price target of \$22.67 (range \$20–25) against a share price of about \$9.21–9.33. The stock closed the prior session at \$9.92 and was down ~5.9% intraday on 2026-08-18.

The market’s story is straightforward: a decades-old boiler company has converted itself into a supplier of power islands for data-center campuses, has a \$2.6B backlog, raised FY guidance to \$80–105M of adjusted EBITDA, and is trading at a fraction of where it was a few months ago. A director bought 5,000 shares in the open market at \$9.50 on 2026-08-13, which supports the “insiders think this is cheap” read.

The tape is worth stating honestly in both directions: the stock is down 58% from its 52-week high of \$22.03 **and** up roughly 558% from its 52-week low of \$1.40. This is a round trip, not a fall from grace.

Why we might have edge

- **The mechanism is disclosed but not aggregated anywhere.** You have to put the Q1 fair-value note, the Q2 press-release EBITDA reconciliation, the R7 cash-flow statement and the related-party note side by side to see that the contract was purchased with equity and that the price paid is then added back to the profitability metric being marketed. No sell-side note we can see does this.
- **Advance billings falling during a ramp is a clean, checkable tell** and it is not in any narrative. It is one line in the balance sheet.
- **Coverage is thin, not crowded.** Three analysts on a \$1.4B-EV name means the price is set by flow and narrative, not by dense modeling. That argues the divergence is *available*, and it argues for smaller size if we ever take it — not for dismissing the idea, which is what our own brief did.
- **The real divergence is the second-half margin step-up, not the earnings basis.** First-half adjusted EBITDA of \$37.8M against full-year guidance of \$80–105M means the second half must deliver \$42–67M — roughly double — on remaining contracted work for the period of about \$416M (16% of the \$2.6B backlog; 58% of it is 2028 or later) versus \$534M of first-half revenue. Second-quarter incremental gross margin was 2.9%: \$180.9M of additional revenue produced \$5.2M of additional gross profit. Doubling profit on lower revenue and a poorer mix is the thing to disbelieve.

Why it might be priced in

- **The stock has already halved.** A 58% drawdown is not the market ignoring these problems.
- **The warrant charge is well-flagged.** Consensus is explicitly non-GAAP and excludes the customer-warrant mark. Nobody is being fooled by the GAAP loss.
- **Payables are less damning than they look.** Cost of operations grew from \$218.2M to \$444.0M (+103%) while payables grew 145% (\$69.2M → \$169.6M). Scaled to activity, only about

\$29M of the \$100.3M payables increase is genuine stretching of vendor terms. Days-payable at 6/30/26 is about 57 days — ordinary for engineering-and-construction.

- **The insider signal is mixed, not one-directional.** There are Rule 144 notices on 08-10 and 08-12 and a cluster of Form 4s, but the one we opened is a *purchase*. The 08-14 13G is Ameriprise at 5.1%, passive — not the 19% holder leaving.
- **The multiple is not absurd.** Enterprise value of roughly \$1,408–1,442M (the range is our own unresolved restricted-cash figure) against guided EBITDA of \$80–105M is about 13.4–18.0x. Fully diluting the warrants takes it to ~\$1,497M. Demanding but not a bubble, if the guide is real.

What we checked ourselves

Every row below was checked against primary filings fetched through a text proxy. The bottom block is where **our own benches got it wrong** — stated plainly, because two of the three headline kills did not survive.

Claim	How checked	Found	Confirmed?
First half was profitable	10-Q income statement (R2)	Net loss of \$62,690k; EPS \$(0.51); \$70,120k loss to common after \$7,430k preferred. Q2 alone was +\$14,255k	NO — refuted
The contract was bought with equity	Q1 10-Q fair-value note (bw-20260331) + Q2 press-release reconciliation	0.5M shares for \$2.0M + warrants on 10.46M shares at \$4.11; 5.23M assigned to Base Electron 2026-03-18; carried \$143M; \$70.2M Q1 charge	YES
The price paid is added back to marketed profit	Cash-flow statement (R7)	Warrant fair-value change +\$64,384k and warrant amortization +\$4,143k as non-cash add-backs (both \$0 a year ago)	YES
Cash flow is being held up by the customer	R4 / R7 balance sheet and cash flow	Operating cash flow +\$374k on \$534.1M revenue; payables +\$100,257k; receivables –\$60,859k; work-in-progress –\$17,812k; advance billings –\$30,485k	YES on the advance-billings leg
Stock comp is immaterial	R7	Stock comp \$1,488k → \$14,823k ; with warrant amortization and D&A, ~\$24M of the \$37.8M adjusted EBITDA is non-cash	YES — and it was missed by the first two passes
Balance sheet gives a floor	R4 + preferred dividend paid	Preferred: 7,669k shares, \$25 liquidation = \$191.7M, verified by the \$3,715k/quarter dividend. It cancels the apparent net cash	YES — no floor
Second-half guide is achievable	R60 remaining-obligations table + guidance	Needs \$42–67M vs \$37.8M first-half, on ~\$416M of contracted second-half work, at 2.9% incremental gross margin	UNRESOLVED — this is the live question
The 19% holder relationship is arm's-length	10-Q related-party note	B. Riley ~19% at 6/30/26 (primary source, not a short report); \$18.1M of first-half fees: \$1.3M agency, \$5.0M advisory, \$11.8M underwriting on the \$230M raise	Relationship confirmed; abuse NOT established

Claim	How checked	Found	Confirmed?
Delisting notice = the 2026 notes	Form 25-NSE 0000876661-26-000682	“6.50% Senior Notes due 2026,” Rule 12d2-2(a)(1). The date-match inference was right	YES
Filings were unreadable (403s)	Retried through r.jina.ai proxy	Every document opened on the first attempt. The verification gap was self-inflicted	Excuse refuted
OUR BENCH ERRED: payables ballooning is a \$100M float grab and the strongest kill	Scaled payables by cost of operations (\$218.2M → \$444.0M, +103%)	Only ~\$29M is genuine stretching; days-payable ~57 is ordinary. “Ex-payables, operations burned \$100M” is true arithmetic and wrong economics — you cannot double revenue and hold payables flat	DOWNGRADED to a sizing point
OUR BENCH ERRED: gross margin collapsed 29.9% → 14.6%	Recomputed sequentially from R2	That comparison is year-over-year against a small aftermarket-heavy base. Sequentially it is 20.3% (Q1) → 14.6% (Q2) — real mix dilution, materially smaller	OVERSTATED
OUR BENCH ERRED: consensus \$0.15 is unreachable, so “the street’s number needs the stock to fall”	Read the consensus source’s own basis note	The source states EPS is non-GAAP adjusted. Excluding the warrant items, first-half adjusted EPS is about \$(0.01), not \$(0.51). \$0.15 sits <i>inside</i> the guide-implied second-half range of \$21–46M to common	OVERTURNED — our error
OUR BENCH ERRED: \$11.8M underwriting = 7.9% of proceeds	11.8 ÷ 230	5.1% — a market-rate small-cap spread. The conflict is structural, not a pricing abuse	CORRECTED
OUR BENCH ERRED: \$5.0M repurchase of 0.2M shares from directors “at market”	Divide it out	Implies \$25/share against a 52-week high of \$22.03 — impossible at market, so the share count or scope is misread. Do not cite this anywhere	UNVERIFIED — pulled
OUR BRIEF ERRED: enterprise value is \$1.39B	148,965,066 shares × \$9.33	That is <i>market cap</i> . True EV ≈ \$1,408–1,442M once debt and the \$191.7M preferred are added — and the brief omitted a claim senior to the common entirely	CORRECTED
OUR BRIEF ERRED: watch receivables as the tripwire	R7	Receivables are not the driver. Any alert keyed to receivables misses the actual cliff	WRONG METRIC
OUR BRIEF ERRED: coverage is crowded, so no edge	Count	Three analysts on a \$1.4B-EV name is thin. Coverage governs <i>size</i> , not whether an idea exists	OVERTURNED
OUR EVIDENCE PACK ERRED	Compared pack XBRL to the filed statements	Pack revenue series ends 2018, operating cash flow ends 2025-03-31, stock comp empty. All of it was stale or misaligned and had to be replaced with the filed R-files	PACK SUPERSEDED
OUR TWO BENCHES DISAGREE,	Restricted cash	One read \$39.4M, the other \$74.2M. This moves EV by \$35M and neither re-	OPEN

Claim	How checked	Found	Confirmed?
UNRESOLVED		read it	

Two further honest concessions about our own process: the satellite and thermal checks on the plant sites were run against a town centroid rather than the actual parcel and produced no usable observation (the imagery baseline call failed outright), so they are void as run rather than clean; and the pattern-matching detector that would have flagged the shape here — a 45% single-session pop on an award, an affiliated-sponsor counterparty, a concurrent raise, insider selling — did not fire only because its geography filter is written for offshore issuers. That filter suppressed a genuine match.

PROPOSED ENTRY BANDS

There is no entry at any price today. This is not a valuation call. The blocker is that the counterparty is entangled with the issuer's own shareholder register and underwriter, and that under our rules a name carrying an unresolved conflict of that kind can never be treated as fairly-paid risk and can never be bought above 85% of what we think it is worth — and we do not yet have a defensible estimate of what it is worth, because the second-half guide has never been tested and the balance sheet contributes nothing after the preferred.

Size now: 0.0% of book. No resting orders. No limit ladder. Placing a resting bid into a name whose next scheduled information event is a quarterly print would be an accidental bet on that print.

Reopen bands — all four are conditions, and the first two are required together:

1. **Advance billings rise materially in the Q3 balance sheet** (from the \$81.5M at 6/30/26) on Base Electron mobilization payments, **and** payables normalize from \$169.6M without operating cash flow going negative. This is the single test. Expected observation date: the Q3 10-Q, on or about **2026-11-03**.
2. **Disclosure of a cash milestone schedule with a creditworthy payer**, or a parent guarantee above the reported ~\$50M termination cap.
3. **A Base Electron financial close with third-party project debt.** This is the external anchor that does not exist today — a lender underwriting the counterparty is worth more than any margin disclosure, because it is someone outside the circle putting up money.
4. **Segment gross margin on the Base Electron scope at 10% or better.** That alone would refute the margin-step-up objection.

If those conditions are met, the proposed opening size is 0.5% of book, tranching, not a full position — thin coverage and a 19% affiliated holder both argue for small. That is a recommendation for a future adjudication, not authorization now.

Price references, so the reopen is not anchorless. None of these is a buy trigger on its own: - **\$4.11** — the customer-warrant strike. Below it the warrants the company handed over are worthless, which changes both the dilution math and the fair-value marks. - **\$9.50** — the only insider open-market purchase we have verified (director, 2026-08-13). Below it, the one bullish insider signal is underwater.

- **\$18.50** — the May 2026 offering price. Above it the affiliated holder's paper is in profit and the supply picture resets.

Catalyst dates: - **2026-11-03** — expected Q3 print. **Unconfirmed:** this is derived from a data vendor, not from a company announcement. Confirm from a company press release before treating it as a date. - **2027 (month undisclosed)** — on-site construction begins per the 10-Q. This is why satellite imagery of the site today shows nothing: a flat parcel is *expected*, not a tell. - **No date** — Base Electron's initial site permit application, which management says has been filed. This is the most checkable bullish claim outstanding and we cannot currently check it.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.5 (deck-provisional: Only verified insider open-market purchase (director, Form 4 0001630805-26-000074, 2026-08-13); below)
- filing watch: 10-Q until 2027-02-14 (deck-provisional: Q3 balance sheet: does the advance-billings line rise off \$81.5M and do payables normalize off \$169.6M)
- dated pack BW|2026-11-03: BW: Expected Q3 print — the advance-billings and payables test lands here. Date is vendor-derived, not from a company release. (date confirm
- dated pack BW|2027-01-01: BW: On-site construction begins per the 10-Q; month not disclosed, so this is a placeholder for 'sometime in 2027' — a flat parcel before th

What remains unverified

- **Whether the second-half guide is achievable.** This is the whole case and neither bench resolved it. It needs roughly a doubling of profit on less revenue and a poorer mix.
- **Restricted cash: \$39.4M or \$74.2M.** Our own two passes disagree. It moves enterprise value by \$35M.
- **The preferred's market price.** We used \$25 liquidation value.
- **The related-party share repurchase.** \$5.0M for 0.2M shares implies \$25/share, above the 52-week high — arithmetically impossible at market. Someone misread the share count or the scope. Do not repeat this figure until it is re-read from the filing.
- **Whether Base Electron can pay.** The entity was formed in December 2025. We have no financials, no credit assessment, no third-party lender, and a disclosed termination cap of roughly \$50M against a \$2.4B contract.
- **The site permit application** management says has been filed.
- **Base Electron is never named in the related-party note.** The note discloses the ~19% holder and \$18.1M of fees; it does not connect the counterparty. We infer the link from the warrant assignment. That inference has not been tested against the company's own characterization.

- **IBKR live quote** — the snapshot was denied on permissions this session, so all pricing here is third-party. The two benches used \$9.16 and \$9.33; the difference is immaterial to the conclusion but the coverage gap is real.
- **Live inspection records, plant imagery, and thermal reads** — all three came back unusable, not clean.

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